Melius One

A FREE GUIDE

The Freedom Steps in 15 Minutes

From paycheque to passive income: a simple path for newcomers to Canada and young families.



Dum vivas, fac melius. As long as you live, do better.

START HERE

Freedom is a gap, not a salary

You work hard. You may send money home. And at the end of the month, there's often nothing left to build with. This guide gives you the whole path in five steps, in the right order, so you know exactly what to do next.

Freedom isn't about the size of your paycheque. It's about the gap between what comes in and what goes out, and what you do with it. Plenty of people with big incomes have no gap. They're stuck too.

The five Freedom Steps

Step	What it means	You're done when...
1. Know your number	See every dollar in and out	You know your monthly gap and freedom number
2. Emergency fund	One month of expenses in cash	The fund is full
3. Attack expensive debt	Pay off all debt except the mortgage	Your debt-free day arrives
4. Invest for freedom	Put every freed-up dollar to work for income	Investing is automatic, every month
5. Freedom	Passive income of 2× your monthly expenses	Your tracker reads 100%

One rule above all: do the steps in order. No skipping ahead.

STEP 1

Know your number

You can’t fix what you can’t see.

List what comes in (take-home pay, not salary), what you owe (balance, rate, minimum payment), and what goes out. Split what goes out into bills (fixed, must pay) and spending (choices).

Supporting family back home is honourable. Make it a fixed bill line with a set amount, decided once with your spouse, so it’s a plan and not a surprise.

Do this today

- Pull the last 60 days of bank and card statements.
- Mark every line as a bill or spending.
- Subtract bills and spending from income. That’s your gap.

Your freedom number

You’re free when your passive income is twice your monthly expenses. Half pays your bills. The other half goes back into your investments, so your income keeps growing even after you’re free.

If you spend…	You need, passive	Invested at 10%	At 15%	At 22%
$5,000 a month	$10,000 a month	about $1.2M	about $800K	about $545K

Formula: monthly expenses × 2 × 12 ÷ yield. Plan with the low number (10%). If you do better, celebrate.

STEP 2

Emergency fund

One month of expenses, saved in cash.

Most advice says three to six months. Cash sitting for years loses ground to rising prices, so the Freedom Steps keep just one month in cash. Its only job is to stop a surprise bill from becoming new debt. Later, once you're investing for income, the yield becomes your cushion.

Keep it in a separate high-interest savings account: not your chequing account (too easy to spend) and not invested (it could drop right when you need it).

Counts: a lost job, an urgent repair, a medical need, a family crisis. Doesn't count: a sale, a holiday, a new phone. If you use it, refill it before anything else.

Do this today

- Open a savings account and name it "Emergency Only."
- Run a 30-day sprint: sell what you don't use, pause one or two spending categories, and pick up extra work if you can.

STEP 3

Attack expensive debt

Pay off every debt except your mortgage before you invest.

A credit card can charge 20% a year or more. Very few investments reliably pay that. So every dollar you put toward debt is a guaranteed return. The borrower is servant to the lender (Proverbs 22:7).

Pay the minimum on everything. Then throw every extra dollar at one debt until it's gone, and roll its payment onto the next.

Avalanche: highest interest rate first. Saves the most money. Snowball: smallest balance first. Quick wins keep you going. Either works, as long as you don't stop.

Why keep the mortgage? It's usually your lowest rate, it's tied to your home, and paying it off first could delay investing by 15 to 20 years.

Do this today

- Stop digging: no new debt while you pay off old debt.
- Remove saved cards from shopping apps and turn off buy now, pay later.
- Call your card company and ask for a lower rate. It costs nothing to ask.

STEP 4

Invest for freedom

Put every freed-up dollar to work, in the right account.

Account order: TFSA first (income is tax-free, withdraw anytime). FHSA only if you're buying a first home. Then RRSP, then non-registered.

Newcomer warning: your TFSA room only builds from the year you became a resident of Canada and were 18 or older. Check your room in CRA My Account before contributing, to avoid an over-contribution penalty.

What to own: the method centres on covered-call ETFs, funds that own stocks, sell call options on them, and pass that income to you, often monthly. You give up some upside in exchange for steady cash.

Yield vs. total return: a 20% yield isn't a 20% return if the fund's price falls 15%. Before you buy, check the 1-, 3- and 5-year total return. The course plans around a blended 10–22%.

Later, simple options strategies (cash-secured puts, covered calls, LEAPS) can add income. The rule that matters most: never sell a put on something you wouldn't happily own.

Do this today

- Look up your TFSA room in CRA My Account.
- Pick a fixed day each month to invest, and reinvest every payment until you're free.

Scam check: scams promise guaranteed returns and rush you. Real investing is boring, happens at a regulated brokerage, in your own name, and you can see every dollar. If anyone asks you to send them money to invest for you, walk away.

STEP 5

Freedom

Passive income of 2× your monthly expenses.

Until then, every dollar your investments pay you goes back in. You don't need to chase the next hot stock. With income investing, you grow by reinvesting. Slow at first, then faster than you expect.

Avoid margin loans. You worked hard to become debt-free. If you ever use margin, keep it to 10–15% of your portfolio at most, let the income pay it down quickly, and never borrow to cover living costs.

Markets will drop. When they do, look at your income, not your balance. Success is not a straight line. The people who reach freedom aren't the ones who never fall. They're the ones who don't quit.

Do this today

- Write down why you're doing this, and who you're doing it for.
- Track your passive income against your 2× target every month.

Freedom isn't really about money. It's about time: time with your family, time for your faith, time to give and to do work that matters.

YOUR NEXT STEP

Start with Step 1 today

Reading the steps is learning. Doing them is changing. Spend 30 minutes this week finding your number.

Free tools to help

- Melius Money (free): add your pay, bills and debts, and it shows your gap, your debt-free date and your freedom number. meliusoneconsulting.com/app
- The Freedom Steps course (coming soon): 35 short video lessons and six worksheets that walk you through every step, in order. You're on the waitlist, so you'll hear first.
- Weekly emails: short notes on markets, saving, investing and financial responsibility.

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This guide is general financial education, not personalized investment, tax or legal advice. Investing, including options, involves risk of loss. Rules and limits change; check current CRA guidance. Consult a licensed professional about your own situation.